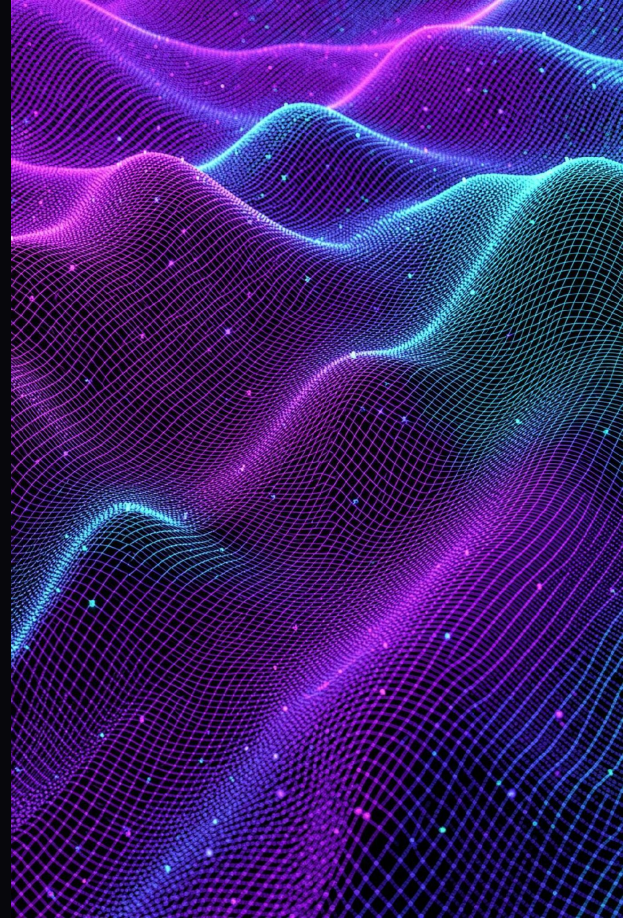


Sector Map: Industrial Automation

From selling machines to selling intelligence — who captures the shift?



Scope & Value Chain

The Central Question

Where is value shifting in industrial automation, and who captures it?

Thesis

Value moves from hardware — PLCs, robots, sensors — to AI-enabled software and services.

Incumbents that digitize internally fastest will sell that capability externally.

Value Chain Stages

- Component Suppliers
- OEMs (Siemens, ABB, Schneider, Rockwell, Honeywell)
- System Integrators
- Software & Services
- End Customers
- After-Sales Services

❏ Value shifts toward the software and services end.

The value chain becomes more software- and service-driven as automation matures.

Market Size & Economics

Global Market (2026)

\$212B – \$300B analyst range, reflecting scope differences across hardware-only vs. hardware + software + services estimates.

India Market (2026)

₹7.6B – ₹19.2B depending on analyst methodology and segment inclusion.

Key Insight

With five incumbents commanding the hardware top, **software and services are where new value emerges** — and margins follow.

Players: Incumbents & Challengers

Incumbents (India)

- Siemens Limited
- ABB India
- Schneider Electric India
- Rockwell Automation India
- Honeywell Automation India

These five control hardware distribution, systems integration, and long-cycle enterprise relationships across Indian industry.

AI-Native Challengers

Presage Insights

IoT + predictive maintenance. Raised ₹5.6 crore seed in 2024 (YourNest Venture Capital). Combines sensor data with AI-driven machine health diagnostics.

Infinite Uptime

Raised \$35M Series C in 2025 to expand into the US. Proprietary sensors + software analytics + AI diagnostics at industrial scale.

Policy & Funding Drivers



Make in India

National mandate to grow domestic manufacturing capability — driving capital investment in automation across sectors from defence to electronics.



PLI Scheme

4–6% incentive on incremental sales for electronics manufacturing over a 5-year horizon. Approved by Cabinet, administered by the Prime Minister's Office.



SPECS Scheme

25% capital expenditure incentive for electronic components production. Expected to generate **₹4.57 lakh crore** in output and **91,600 direct jobs**.

Demand Signals & AI Momentum

9,120

Robots Installed ↑

Industrial robots deployed in India in 2024 — up 7% YoY, ranking India **6th globally**.

59.2

Manufacturing PMI ↗

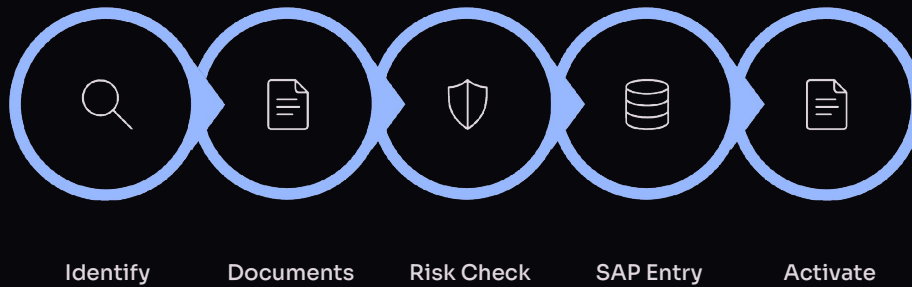
India's Manufacturing PMI, October 2025 — signaling **strong momentum**, faster output, and sustained job gains.

The AI Inflection

📌 AI is moving from the lab to the factory floor at measurable speed.

Siemens Supplier Onboarding: The Proof Point

Siemens' supplier onboarding runs through **7 sequential gates** — Identify → Register → Documents → Risk → SAP → Qualify → Activate — each still dependent on manual research, email, spreadsheets, and copy-paste between systems.



Siemens Energy's SAP ARIBA implementation pointed the direction: **"a single point of truth with no more switching between email and other systems"** and on-demand data availability. The same logic applies end-to-end across supplier onboarding.

The Bigger Insight: Fragmentation, Not Lack of Automation

The Real Problem

Siemens operates multiple parallel systems — STAR, OSP, business-unit platforms, SAP, and procurement catalogs. They exist. They function. But they **don't talk to each other smoothly**.

Every manual handoff between systems introduces delays, transcription errors, and audit gaps. The bottleneck is not missing tools — it is missing integration.

The Reframe

Winners won't just have the most AI features. They will connect systems well enough for AI to work end-to-end — from supplier portal to purchase order, without a human relay in between.

System Fragmentation Map

STAR / OSP Portals Supplier registration and qualification — siloed from procurement.	Business-Unit Systems Parallel qualification tracks across divisions — no unified view.	SAP / Procurement Catalog Downstream purchase order and payment — disconnected from onboarding upstream.
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Our View: The Shift & Who Wins

1

Today

Hardware revenues dominate. Software and services are bundled, underpriced, or given away to close the equipment deal.

2

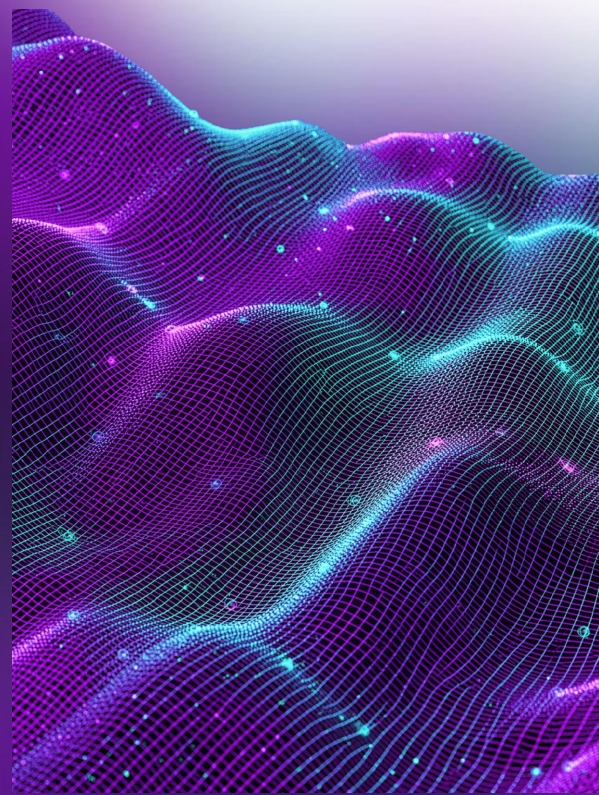
The Transition

Incumbents that digitize internal operations — supplier onboarding, asset management, back-office — build the infrastructure and credibility to sell that intelligence externally.

3

2026–2029

Predictive maintenance, digital twins, and back-office AI become **standard vendor offerings** — not side projects. Pricing shifts toward recurring software and services revenue.



Sources

Financials

Siemens Limited Annual Report FY2024 — Revenue, financials, market context

[Siemens-Limited-Annual-Report-2024.pdf](#)

Startups

- **Presage Insights Seed Funding (2024)** — AI-native challenger, predictive maintenance
[entrackr.com — Presage Insights raises seed funding round](#)
- **Infinite Uptime Series C Funding (2025)** — Industrial AI, predictive maintenance at scale
[TechCrunch — Infinite Uptime bags \\$35M](#)

Policy

- **PLI Scheme (Prime Minister's Office)** — Government incentive structure
[pmindia.gov.in — Cabinet approves PLI Scheme](#)
- **SPECS Scheme (Cabinet Approval, 2025)** — Electronics component manufacturing incentives
[Economic Times — Cabinet greenlights Rs 23,000 crore e-parts scheme](#)

Case Study

Siemens Energy SAP ARIBA Implementation — Supplier onboarding digitization case study
[Siemens Energy Supplier Quick Guide](#)

Intelligence is the new infrastructure

Thesis AI-enabled software and services capture the value shift from hardware.	Proof Point Siemens' 7-gate supplier onboarding reveals system fragmentation as the core blocker.
Horizon By 2029, predictive maintenance and back-office AI are table stakes, not differentiators.	

